

* * * *

Foreign currency transactions

Many modern companies spread their activities outside the country of incorporation. Indeed, not all transactions take place among firms that use the same currency for reporting purposes and, when it is the case, the exchange rate between the two transacting parties has to be taken into account.

In particular, the “foreign currency” problem arises because a firm needs to record all the transactions using the same currency, according to the “homogeneity of account money” principle. Though the doctrine considered the possibility to record the transactions keeping multiple currencies, financial statements must use only one currency, which is typically the currency of the country where the firm is located. The problem of foreign currency translation arises whenever the relative strength of two economies of two countries with different currencies changes, thereby there is a fluctuation in the exchange rate of their currencies.

Given such problem and the need to keep the “homogeneity of account money” principle, it is necessary to convert (i.e., apply an exchange rate to) a foreign currency amount so that it is possible to express the monetary value of a transaction in the firm’s home country currency. The exchange rate is the price at which the foreign currency can be acquired. For instance, if an Italian firm has to pay 100 US dollars (or \$) to buy a product from an American supplier and the exchange rate is $1\text{€} = 1.20\$$, it needs to convert such dollar amount into the current EU (or €) value by simply dividing the dollar amount by the relative exchange rate:

$$\frac{100\$}{1.2 (\$/\text{€})} = 83.33\text{€}.$$

The exchange rate presented above is the dollar value of a unitary amount of euros. Therefore, to buy 1€, it is necessary to pay 1.20\$. Following the same logic, if a European firm purchases goods that cost 100 US dollars, it will pay 83.33€.

The rules of foreign currency transactions are very similar across different Accounting Standards. Thus, for example, in countries that have adopted IFRS, firms have to follow *IAS 21 The Effects of Changes in Foreign Exchange Rate*.

If the contract is settled in a foreign currency, the accounting for exchange rate depends on the payment settlement date. Generally, there are three cases to distinguish:

Case 1: Transaction is completed on the reporting date

When the invoice is paid at the transaction recognition date, the company should use the spot exchange rate of the transaction date.

Example: On 30 June 2021, the French Company A sells equipment to an American company and receives 1000\$ in cash on the same day; the spot exchange rate on that day is $1\$ = 0.84\text{€}$.

Company A accounts for this transaction as follows:

Date	Account DR	Account CR	Amount DR	Amount CR
30/06/21	Cash (+A)		840	
		Sales revenue (+R, +SE)		840

Such amount can be found with the following proportion:

$$0.84 \text{ €} : 1 \$ = X : 1000 \$$$

$$0.84 \text{ €} \times 1000 \$ \div 1 \$ = 840 \text{ €}$$

Case 2: Transaction is settled by the end of the reporting period

In cases in which the transaction recognition date differs from the payment (or settlement) date (but the payment is settled prior to the end of the accounting period), the differences in exchange rates are accounted for as Realized Gains and Losses. Initially, the company records for the transaction using the spot exchange rate between the functional currency and the foreign currency at the date of the transaction; then, when the invoice is settled, the company accounts for it using the spot exchange rate at the settlement date. The difference which may arise is recorded as foreign exchange gain or loss. Let's clarify with an example.

Example: On 14 January 2021, German company "X" purchases a machinery from American company "Y" for 500,000 \$. Company X's fiscal year coincides with calendar year. The invoice is settled on 21 September 2021.

The spot exchange rates are as follows:

- 14/01/2021: 1€ = 1.22\$ (or 1\$ = 0.82€);
- 21/09/2021: 1€ = 1.17\$ (or 1\$ = 0.85€).

Company X accounts for this transaction as follows:

Date	Account DR	Account CR	Amount DR	Amount CR
14/01/21	Machinery (+A)		409,836.07	
		Accounts payable (+L)		409,836.07
21/09/21				
	Accounts payable (-L)		409,836.07	
	Foreign exchange loss (+E, -SE)		17,514.36	
		Cash (-A)		427,350.43

The amount at 14/01/21 is computed as: 500,000/1.22.

The amount at 21/09/21 is computed as: 500,000/1.17. This gives rise to a foreign exchange loss of 500,000/1.22 - 500,000/1.17.

NOTE: the balance of the "Machinery" account (the "non monetary" item in the transaction) stays unchanged i.e. the change in the exchange rate has no impact on the balance of the purchased asset's value in the books.

Case 3: Transaction is settled after the end of the reporting period

In cases in which the transaction recognition date differs from the payment date and the payment is not settled by the end of the accounting period, the differences in exchange rates are accounted for as Unrealized Gains and Losses at the fiscal year end. Initially the company records for the transaction using the spot exchange rate between the functional currency and the foreign currency at the date of the transaction; then, at the fiscal year end, the company uses the spot exchange rate at the last day of its reporting period to record the unrealized foreign exchange gains or losses.

Example: On 16 October 2021, an Italian company E sells its goods to an American company F for 350,000\$. Company E's fiscal year coincides with calendar year. The invoice is not settled by 31 December 2021.

The spot exchange rates are as follows:

16/10/2021: 1€ = 1.17\$ (or 1\$ = 0.85€)

31/12/2021: 1€ = 1.20\$ (or 1\$ = 0.83€)

Company E accounts for this transaction as follows:

Date	Account DR	Account CR	Amount DR	Amount CR
16/10/21	Accounts receivable (+A)		427,350.43	
		Sales revenue (+R, +SE)		427,350.43
31/12/21	Unrealized foreign exchange loss (+E, -SE)		10,683.76	
		Accounts receivable (-A)		10,683.76

The amount at 31/12/21 is the difference between (350,000\$ /1.17\$) and (350,000\$ /1.2\$), which is 427,350.43€ – 416,666.67€ = 10,683.76.

Summing up, it is possible to have the following cases:

Fiscal year end	Domestic currency weakens with respect to foreign currency	Domestic currency strengthens with respect to foreign currency
Foreign currency receivables	Foreign exchange gain	Foreign exchange loss
Foreign currency payables	Foreign exchange loss	Foreign exchange gain